

TAM-SAM-SOM Funnel

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Sizing the addressable market

PROFESSIONAL DEFINITION

The TAM-SAM-SOM funnel sizes a market in three nested layers — Total Addressable Market, Serviceable Addressable Market and Serviceable Obtainable Market — to ground growth ambitions in realistic opportunity.

WHO DEVELOPED IT

A standard market-sizing construct in venture and strategy practice.

WHY IT WAS DEVELOPED

It was developed to discipline market-size claims, distinguishing the theoretical maximum from the realistically obtainable.

FIGURE 1 · TAM-SAM-SOM FUNNEL

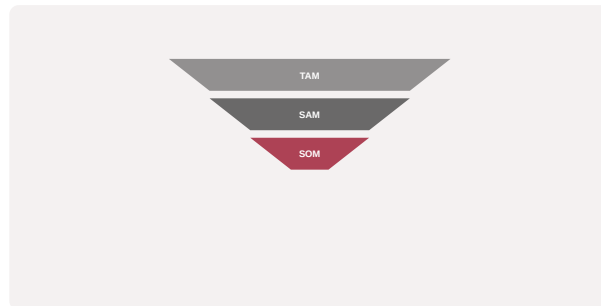


Figure 1. A schematic of the TAM-SAM-SOM Funnel as applied in BARBM312 (illustrative).

HOW IT IS USED

The total market is narrowed to what the firm can serve and then to what it can realistically obtain, grounding projections.

WHEN IT IS USED

During fundraising, planning and market-entry analysis.

BY WHOM IT IS USED

Founders, investors and strategists.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It separates aspirational market size from obtainable share, tempering inflated AI-market claims.

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SOURCES (HARVARD REFERENCING STYLE)

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Mullins, J. (2017) The Customer-Funded Business. Hoboken: Wiley.